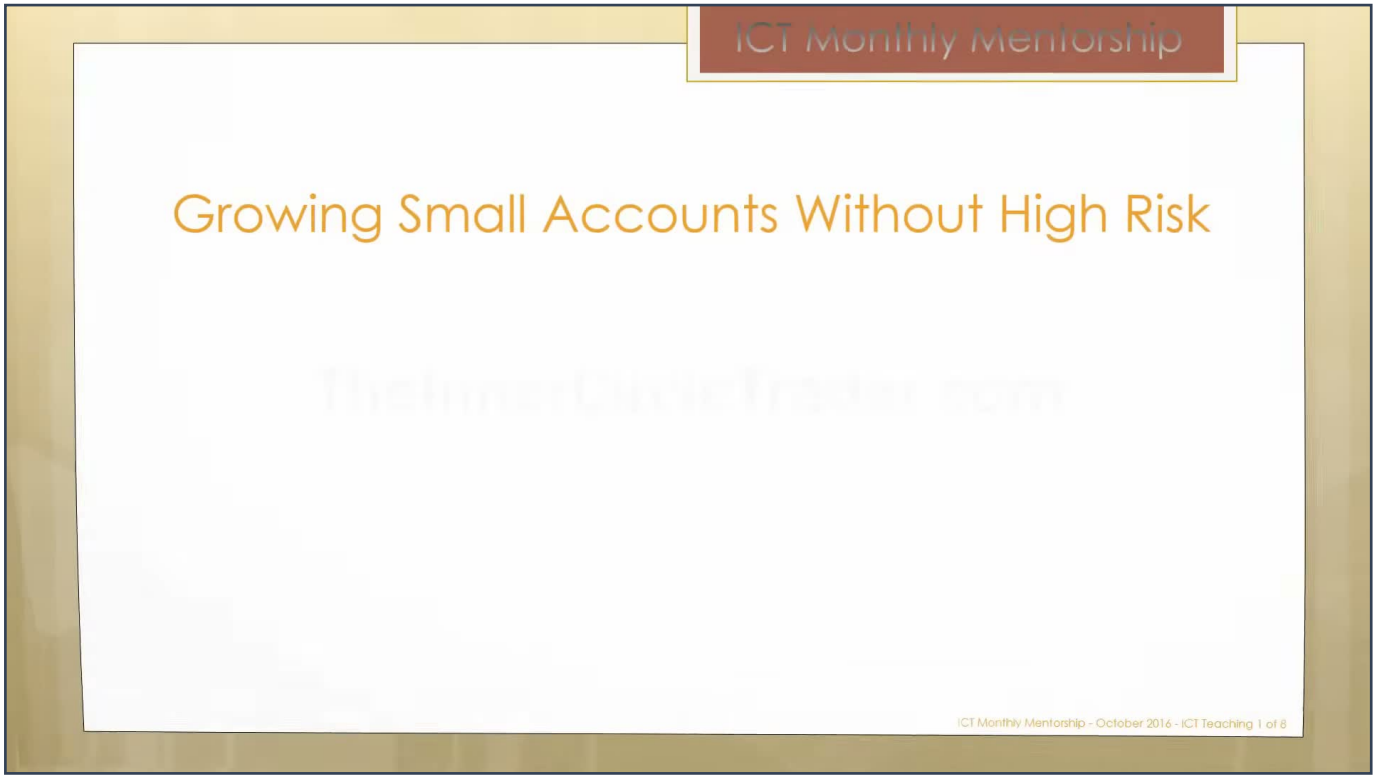
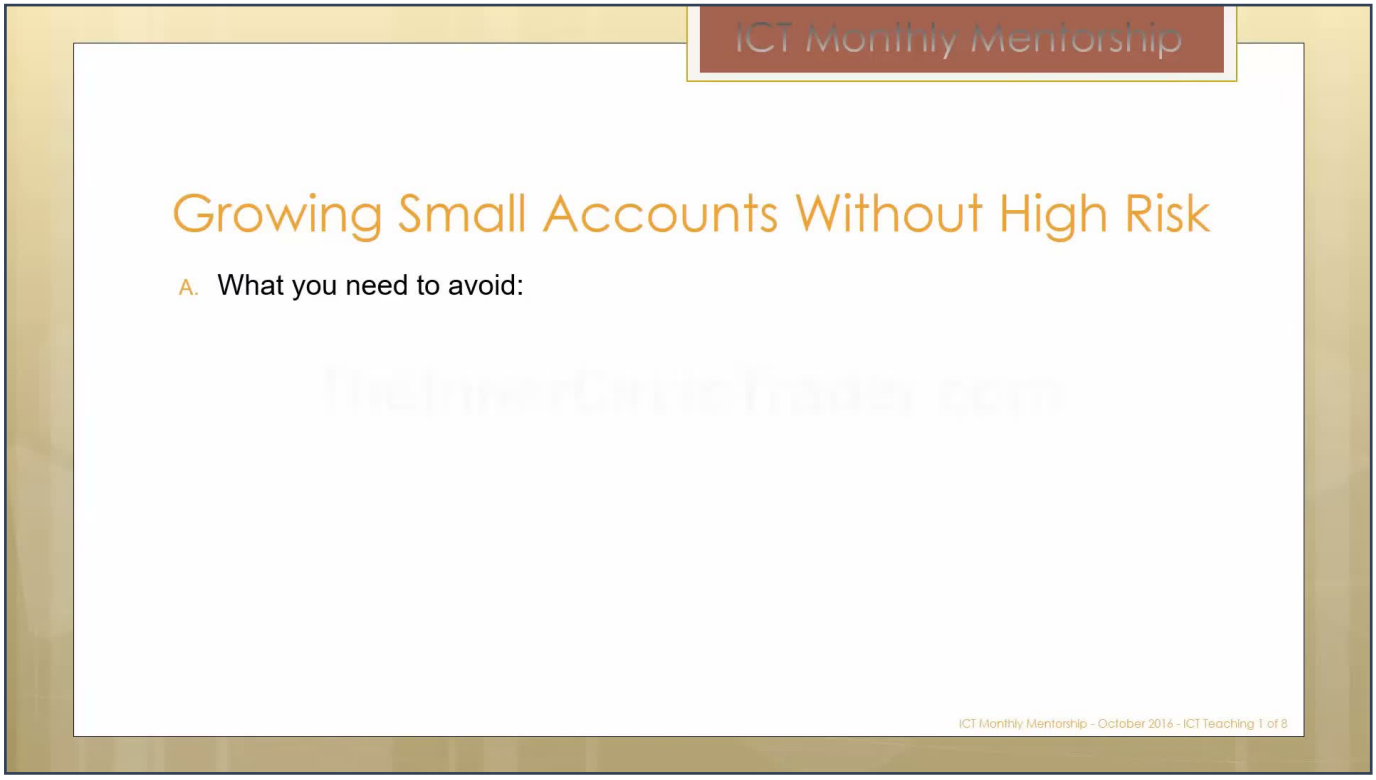
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 02 GROWING SMALL ACCOUNTS



Welcome back folks. This is month two of the ICT Mentorship, teaching one of eight of the second month of 12. We are dealing specifically with growing small accounts without high risk.

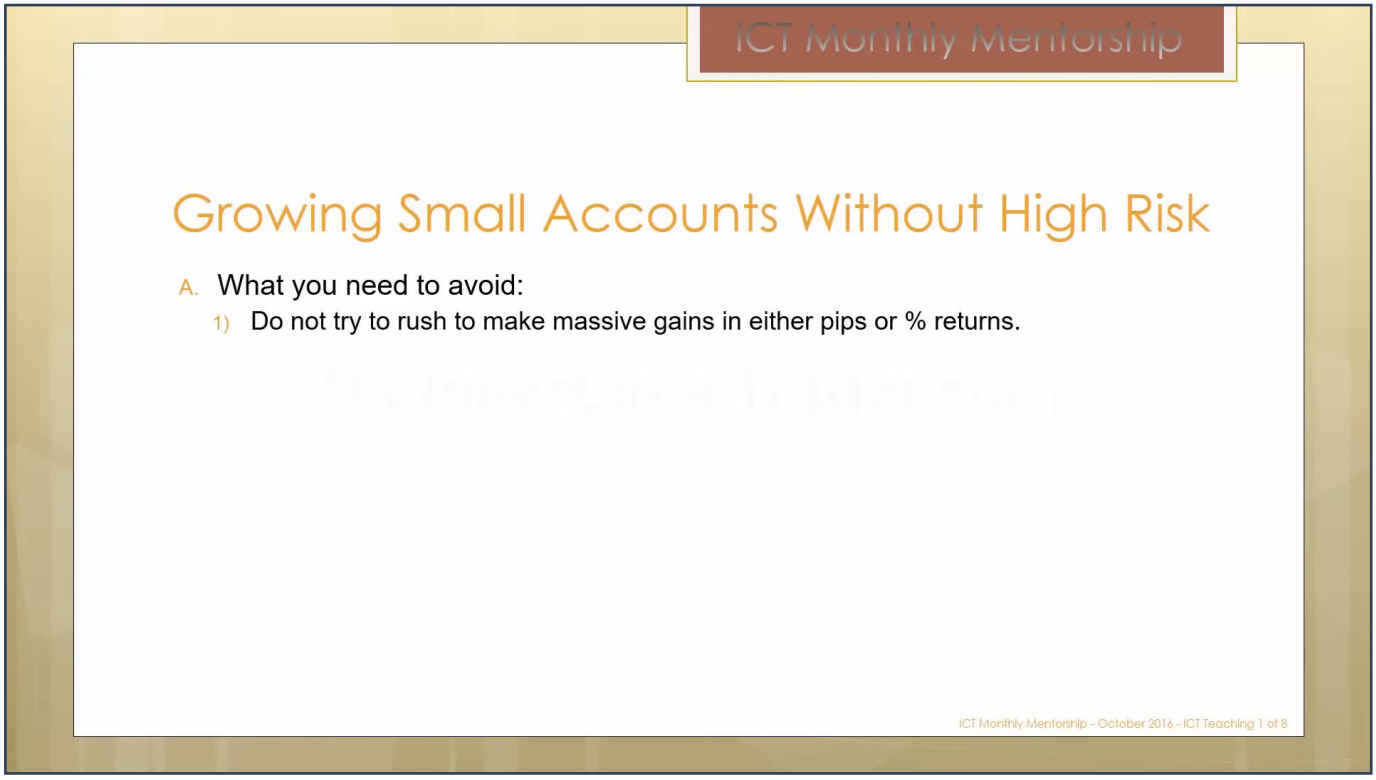


Before we start, we need to know what it is that we need to avoid.

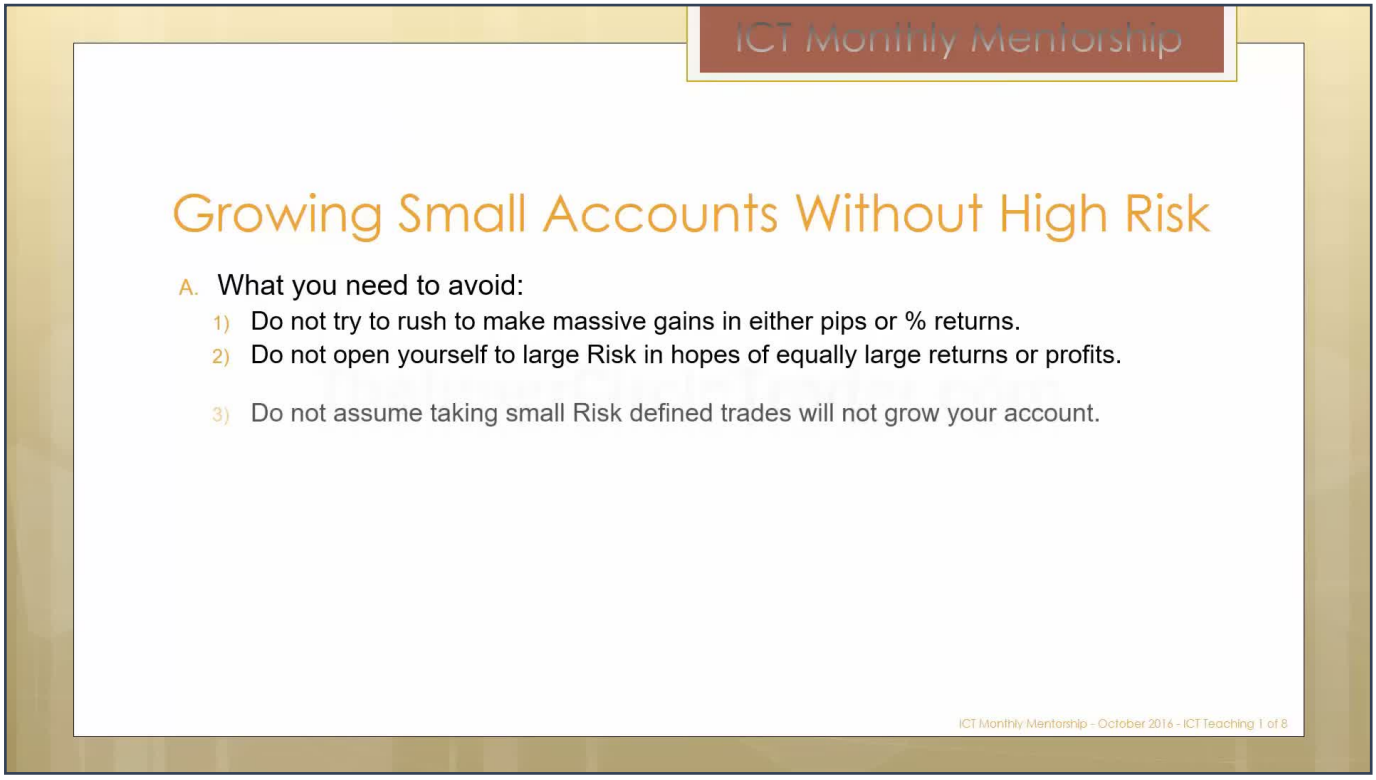
- Do not try to rush to make massive gains in either pips or percent returns. I fell victim to this as a new trader, thinking I could get rich really quick.

- It makes you think it's like the lottery every single time you sit in front of your computer, and it's not the case.

- As a new trader, suppress that desire to chase massive gains, whether in total pips (trophy thing) or high percentages. It's not important how many pips you have or how much money you make; it's the percent returns for consistent wealth building.



Do not open yourself to large risk in hopes of equally large returns or profits. It's not necessary to have very much risk on your trades to make a lot of money. It's rather myopic and a misnomer for new traders who think they have to have a lot of money and put a lot of risk to make money. That's not true; they only think that because they're trying to make money quick, lots of money real quick.

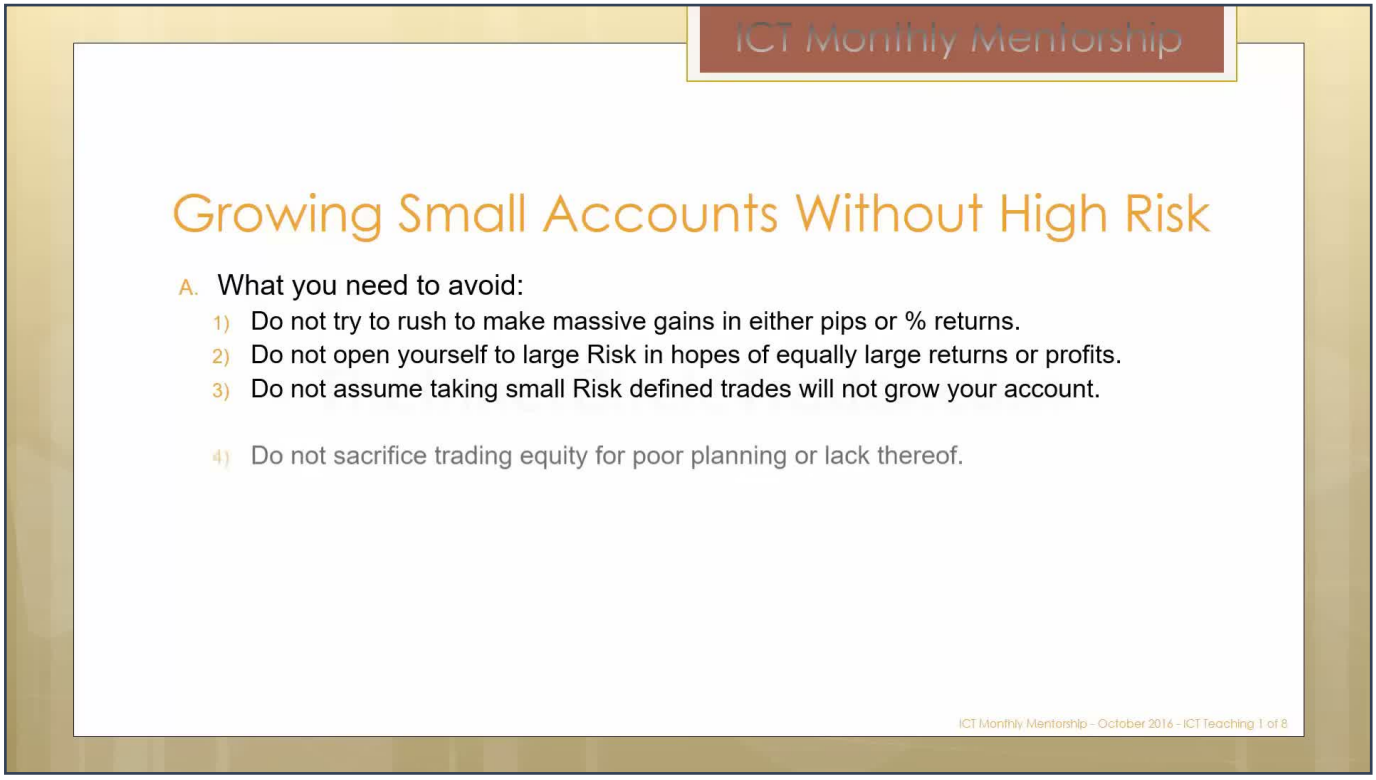


Do not assume taking small risk defined trades will not grow your account. This was one of the lessons it took a while for me to learn early on. I thought I had to have a lot of risk, otherwise I wouldn't see my account grow, but that's not entirely true.

- Once I understood the compound interest factor, it doesn't take much time at all for your money to grow. It doesn't matter how much you start with; you can start on a shoestring budget, even as little as a hundred dollars.

- A hundred dollars can grow exponentially over time if you submit to it.

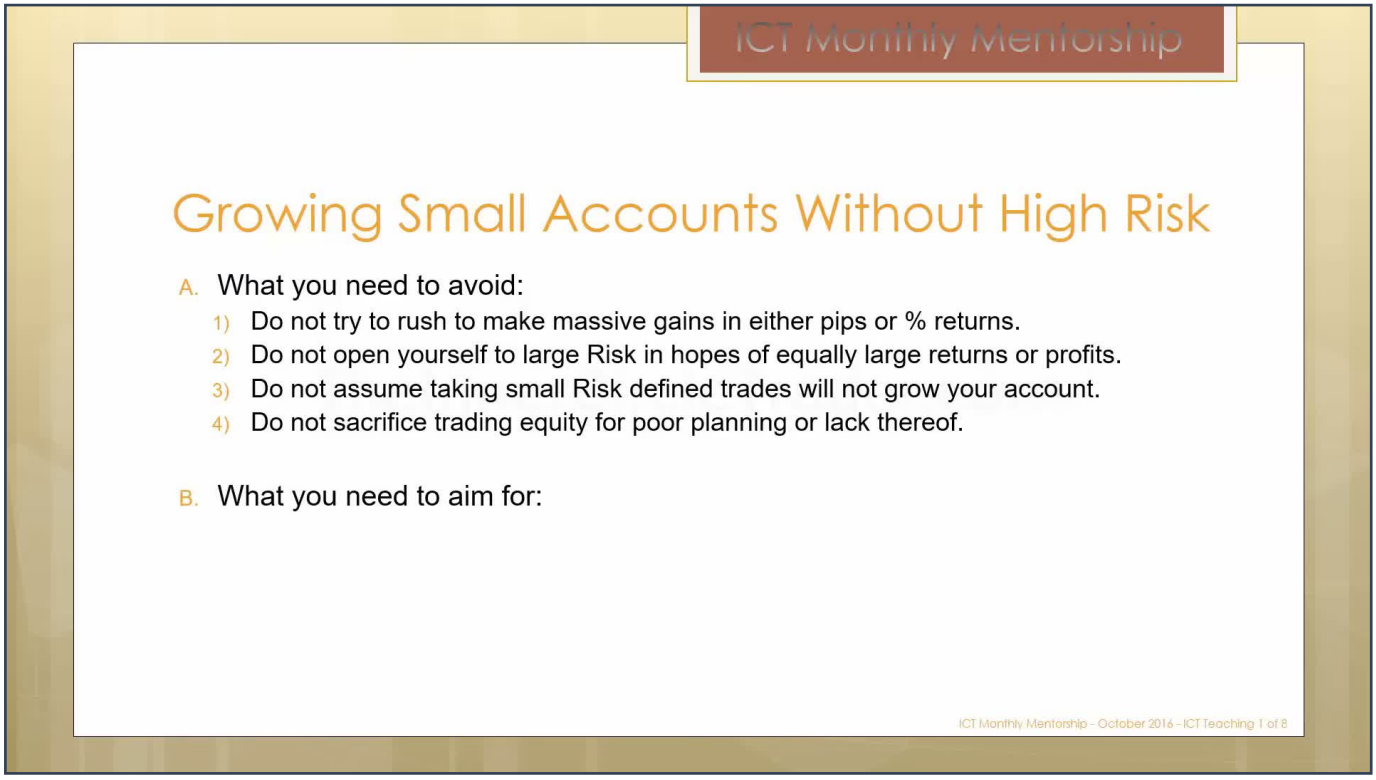
- If everyone started with a hundred dollars, number one, you would never be broke if you made mistakes initially. Secondly, who says you can't add more money to it once you become more confident? Everyone jumps ahead, wanting to risk and lose everything, but they put it all in one or two trades hoping for a lottery win. You don't need to do that. You can define your trades with very low risk in terms of total equity and watch it compound over time. That's how you grow an account.



Do not sacrifice trading equity for poor planning or lack thereof. It's very important that you understand there is not a necessity for large risk to build wealth.

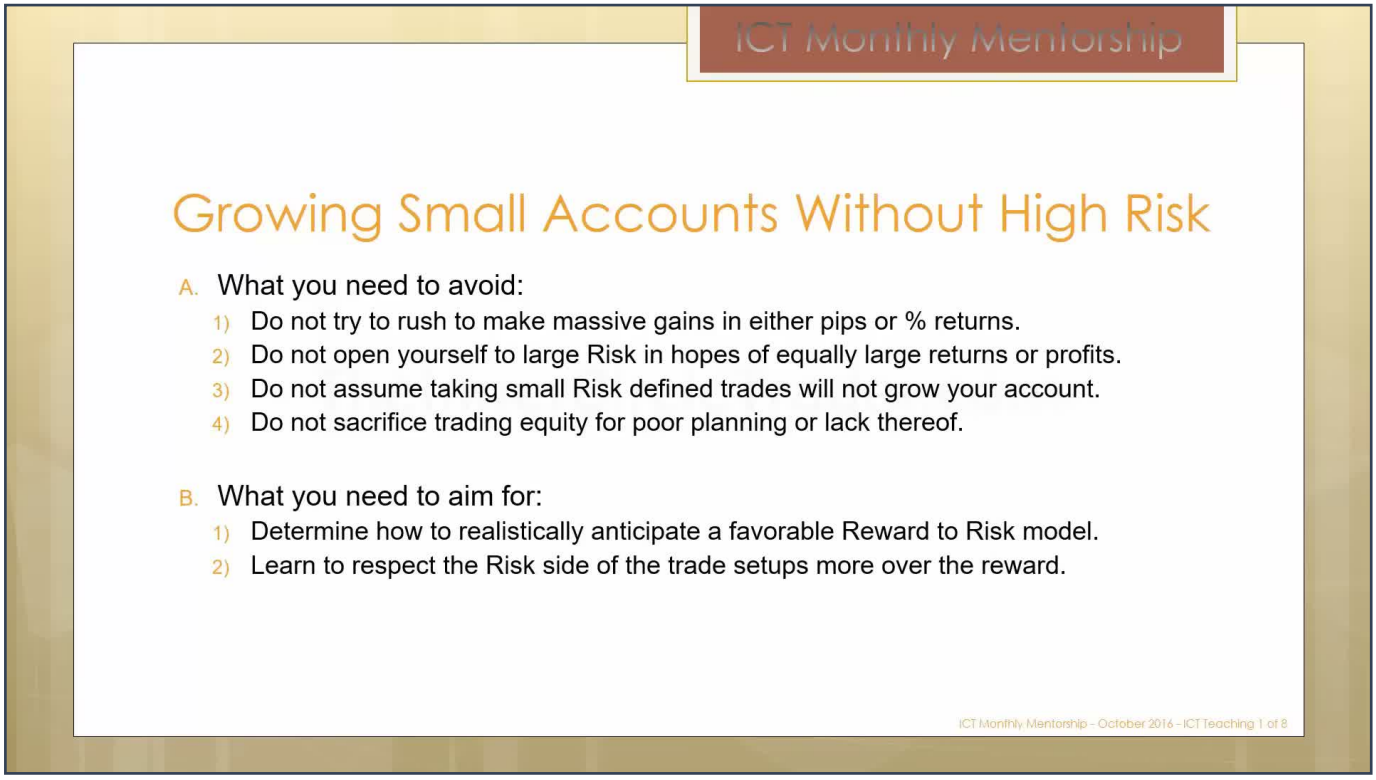
- You need to have consistent parameters that allow good risk models for each trade with well-defined low risk parameters.

- The setups need to have well-defined risk, ideally two percent if you're a new trader, but no more than two percent on average. You don't need any more risk than that to build wealth.



What do you need to aim for? What specific things should you be focusing on going forward if you have a small account and how to start building it up?

- You need to determine how realistically you can anticipate a favorable reward to risk model. What does it look like? We're going to talk a little bit about that in this specific teaching.

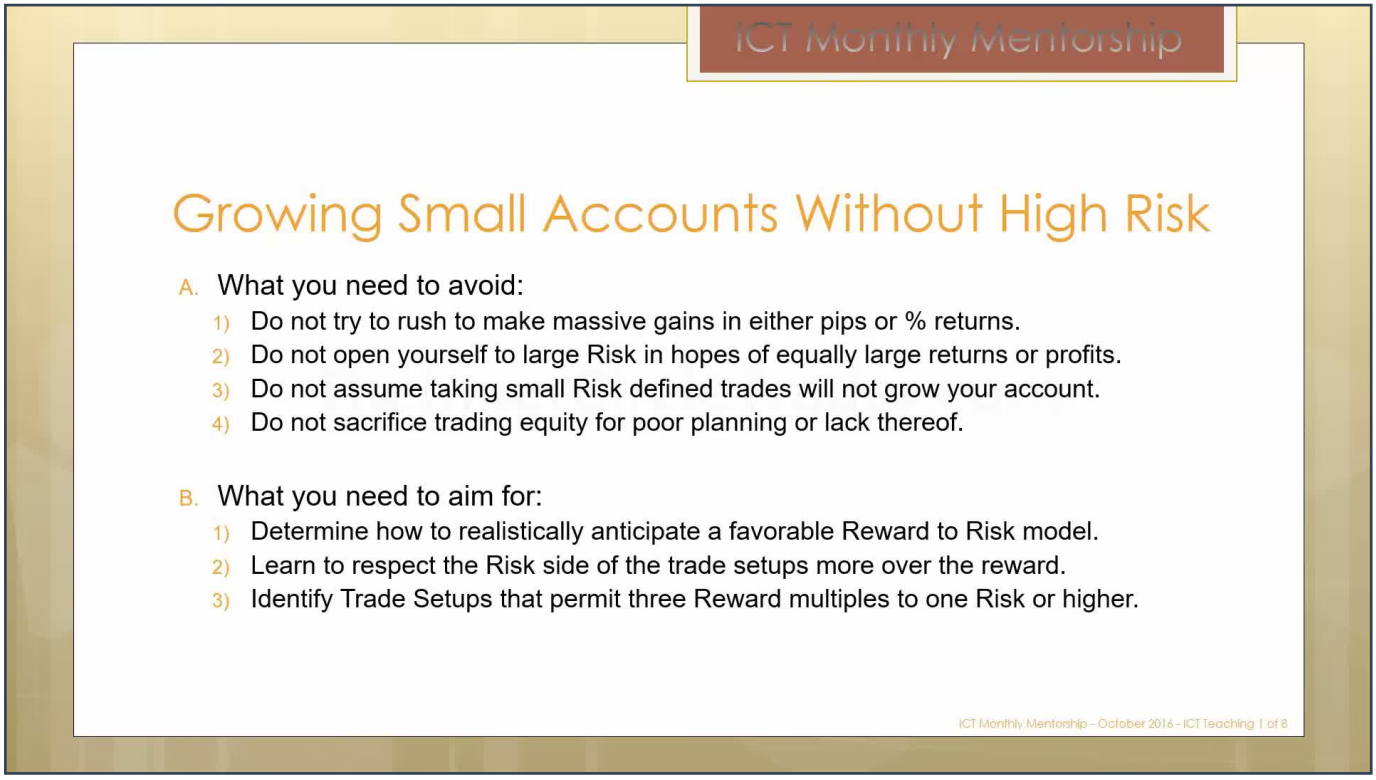


You're going to have to learn to respect the risk side of the trade setups more over the reward. Too many times, as new traders, we don't think about losing money because we're always to be right. We think about the profits solely and don't really concern ourselves or respect the fact that we could lose on every single trade.

- How many times have you started a trade as a new trader? Maybe you were nervous, but when you first put the trade on, greed puts you into that trade. Greed puts you into that position where you're trying to make money. But once that transaction starts and you're in the marketplace, that greed transfers into fear: 'I hope I make money, what if I don't make money?'

- When we first put the trade on, we're not necessarily fearful, unless we're fearful of missing the move. It's greed that puts you into the trade as a new trader.

- You need to learn to respect the risk side before you take that trade and execute on it, because if you don't focus on that side, that's the part that hurts you. Nobody gets broke by taking profits, but they all go broke by taking too much risk.



Identify trade setups that permit three reward multiples to one risk or higher. It's very important, and we're going to talk about specific numbers and how it's actually measurable in terms of odds.

- You want to look for trade setups that have three to one payouts: for every one dollar you're risking, you hope to make three dollars.

- Frame good reward-to-risk setups to have little impact if unprofitable. Again, that gets back to having very small risk. If you have very small risk, well-defined trade setups, you're never going to worry about it. You might get a loser here and there, you might get a string of losses, but it's not going to take you out of the business, it's not going to take you out of your career of choice.

- You came into this industry to make money. You want to obviously change the course of your life in terms of financial fluency, and even if you're not trying to get rich, if you're just trying to have a passive income, maybe you're trying to supplement some of your bills, your monthly costs of living, you came in here with a monetary desire.

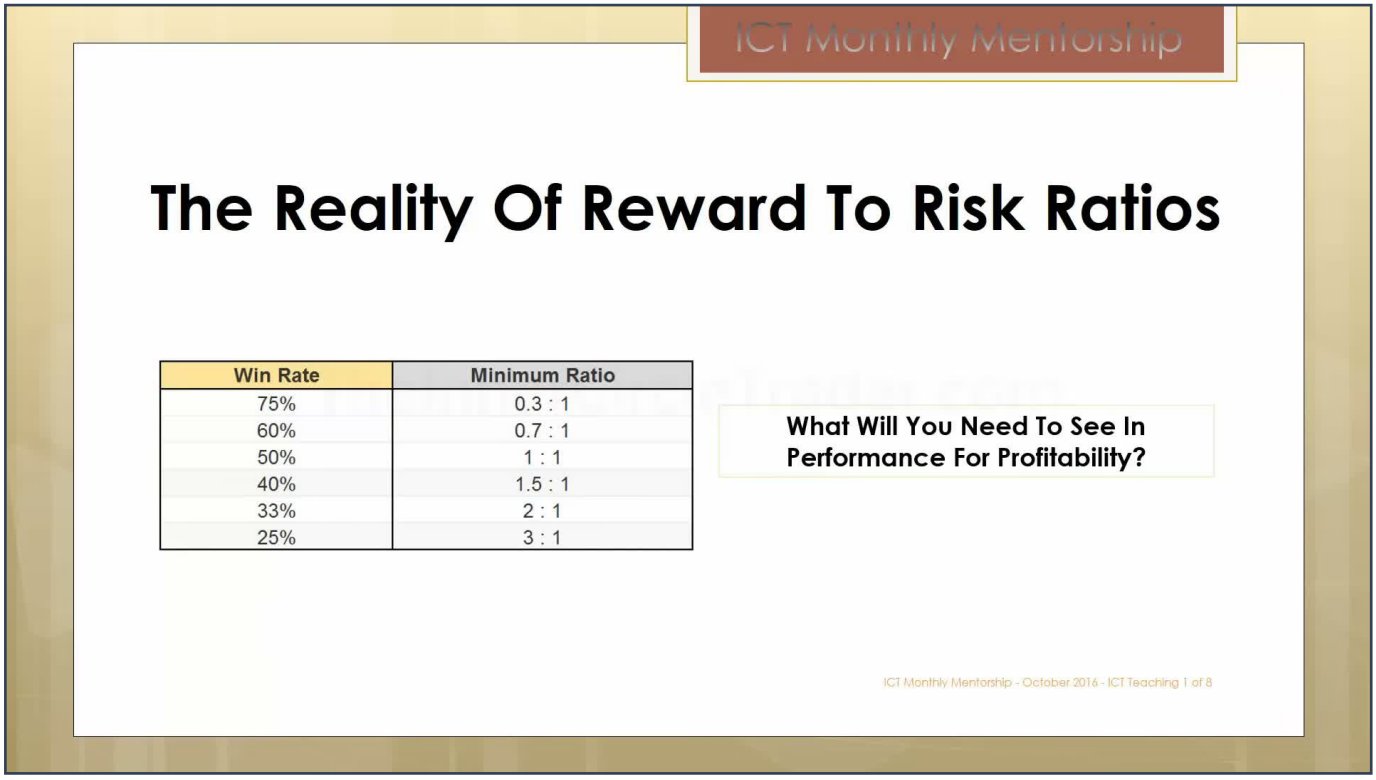
- So, keep that in mind: you want to do this for a long time, not just get lucky for a short period of time and make a lot of money, because that doesn't happen. No one does that. Forex is not the lottery.

All right, the reality of reward to risk ratios. What will you need to see in performance for profitability?

- Everyone thinks they're going to never have a loss when they first start out. Everyone's superman, they can't go wrong, their system is going to be the best thing. Don't worry about it, you'll never have a loser kid. No one starts in this industry hitting the ground running and never having any losing trades; you're going to encounter that.

- So when we talk about accuracy, accuracy is not even necessary in terms of high-end accuracy to make money. You don't even need high accuracy to build wealth.

- But you do need time. Time is the missing element, and that's the secret, that's the holy grail, to allow compound interest to do its magic.



Win Rate	Minimum Ratio
75%	0.3 : 1
60%	0.7 : 1
50%	1 : 1
40%	1.5 : 1
33%	2 : 1
25%	3 : 1

My question to you is this: do you think that you're a 75 percent win rate trader? In other words, 75 percent of the trades you get in are winners. If that's the case, your win at 75 percent is actually very high, and your ratio in terms of what you're hoping to make in terms of your risk is really low. You don't need to have very much risk to make one dollar.

- If you had 60 percent, you still have less in terms of what you have to take on as risk to make one dollar.

- But when we get to 50/50, you got to start risking a dollar for a dollar.

- At 40 percent, the ideal ratio would be you're trying to make a dollar fifty for every one dollar.

- To be profitable when you're only 33 percent accurate, ideally the minimum is you want to be looking for trades that pay you two dollars for every one dollar risk.

- At 25 percent accuracy, think about this: if 75 percent of the trades that you take are losing trades, the minimum ratio for profitability is you have to look for trades that pay out three to one.

- If we have that scenario, and we are able to take a trade and risk one dollar and make three dollars in return, we can be wrong 75 percent of the time and still be net profitable. Think about that.

- If you grow in your understanding of the things I'm teaching you, say you become profitable to the degree where half of your trades are profitable, that means the ability for you to find three to one trades more than doubles. So that means your accuracy grows, but your reward to risk ratio, if it just stays three to one, you're going to have more trades that pay out three to one, therefore your equity is going to increase exponentially.

- What happens when your win rate goes up above 50 percent? What happens if you have a 65 to 70 percent accuracy and you're looking still for three to one trades? Your money grows exponentially.

- What happens when you start looking for reward to risk ratios of five dollars paid out for one dollar risk and you have a 70 percent accuracy? Suddenly, wealth is not that far out of reach.

ILLUSTRATIVE EXAMPLE: ACHIEVING 50% MONTHLY RETURN

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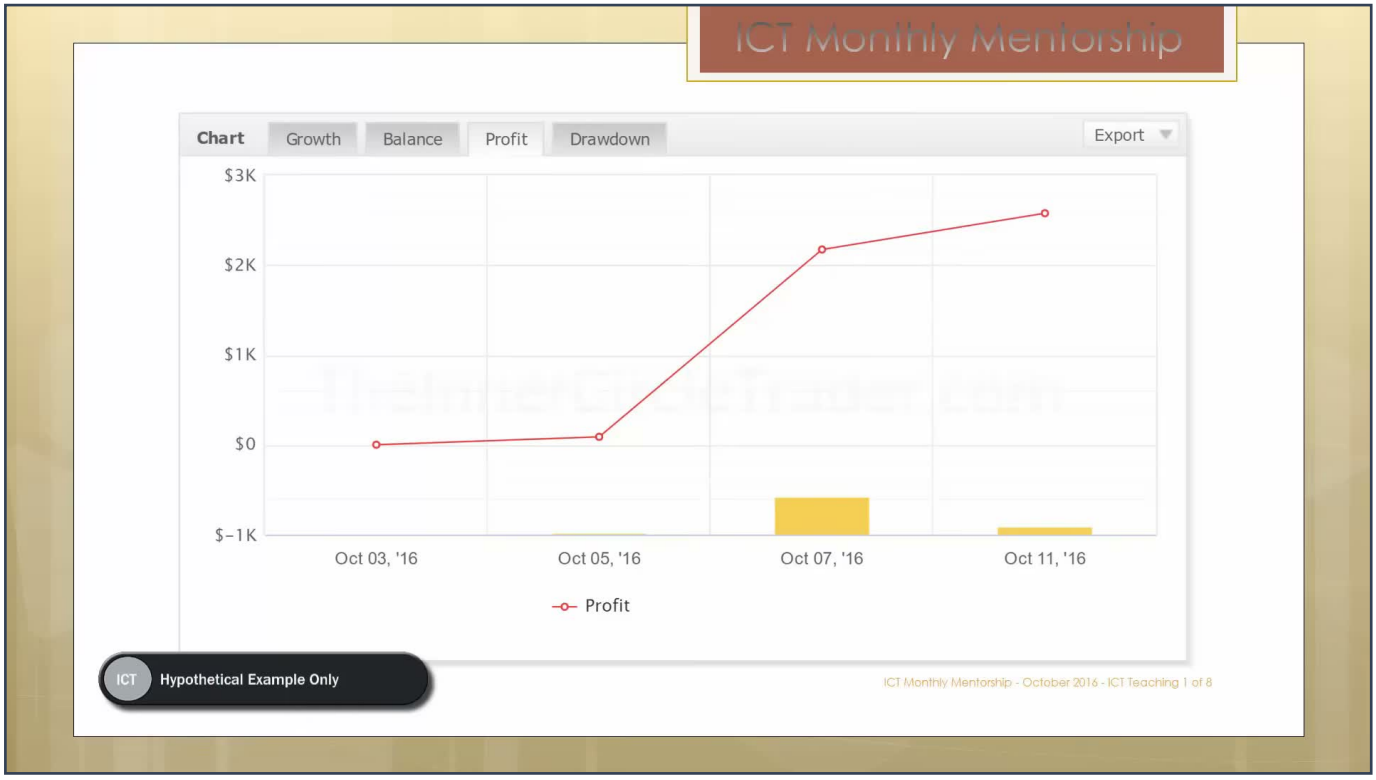
Now looking at an example of trading with statistics behind it. I think everyone would agree that to make a percentage increase of 50 percent inside of one month is actually a pretty good feat. I'm not advocating that everyone's going to be able to make 50 percent return in one month; it's not going to happen.

- If we have an account that would be relatively small, I'm going to say for the benefit of an example that we're going to say $5,000 is something that everyone's able to do once they understand how to trade. We're going to say that everyone is willing to put $5,000 into a trading account. You'll determine when you're going to do that; I'll never tell you when that's going to happen. You make the decision on your own.

- But let's say for instance you put $5,000 in an account and you use some of the ideas that we teach here and you're able to find big payouts, big reward to risk ratio trade setups, to make a 50 percent return on your account in one month.

- It doesn't take many trades to do that, but it does take highly selective setups, and you have to do certain things to make this pan out. Once you get one or two of them in your month in terms of trades, you can now start lowering your risk to reward ratio trade setups if you want to stay busy. You can still do very well by adding more percentage-wise on your account, but you don't need to go out there every single time looking for big payout trades. You can get bread and butter scenarios, whether it's two to one, three to one scenarios where it's easy to get these payouts.



So if you started with $5,000 and you're able to find setups to do these things, and that's what I did in my FX book for this mentorship, I show over 50 percent return, and I didn't do many trades at all. It wasn't many trades at all that actually brought this type of return. The profit actually grows over $2,500, and that's not bad for an account that would start with $5,000.

- Not a whole lot of trading in the first month, that is what is possible, but not a standard. Do not expect this as a normal every single month type thing. But think about this: if you could show a 50 percent return just for the year, how amazing would that be?

- If you were able to take your money and compound it where you had a return of 50 percent per year, that blows away every money manager's goals out there. It certainly blows away any kind of stock return, IRA or anything like that. You would be outperforming every asset class that's available to you.

- You can do that in a month if you could do that in one month, looking for high payout, low risk, imagine what's available to you. This is the one that you want to pay the most attention to, and I said you have to respect this side of it because the drawdown is what will hurt you. It'll hurt you psychologically and it will hurt you monetarily. So, our goal is to have little to no drawdown. You're going to have drawdown; this account will have drawdown. It's not my goal to show you massive drawdown so you can see how it comes back from it. The idea in this mentorship is to avoid large drawdown.

- Obviously, in one month taking 10 trades, I tell everybody my average goal for the week is 50 to 75 pips a week, and you can see here the average win is 51.80 pips. With 10 trades, a total haul of 518 pips for the month, and I think that's pretty consistent for what I'm able to do on a month-to-month basis. I don't try to do anything more than this; this is like my sweet spot for my performance. I try not to do anything above

this. Every time I try to do that, I get a King Kong feeling, and you know, King Kong in the movie fell off the Empire State Building and didn't live too much longer after that. So I learned that lesson as well in my trading.

INITIAL FOCUS: CONSISTENT 6% MONTHLY COMPOUNDING

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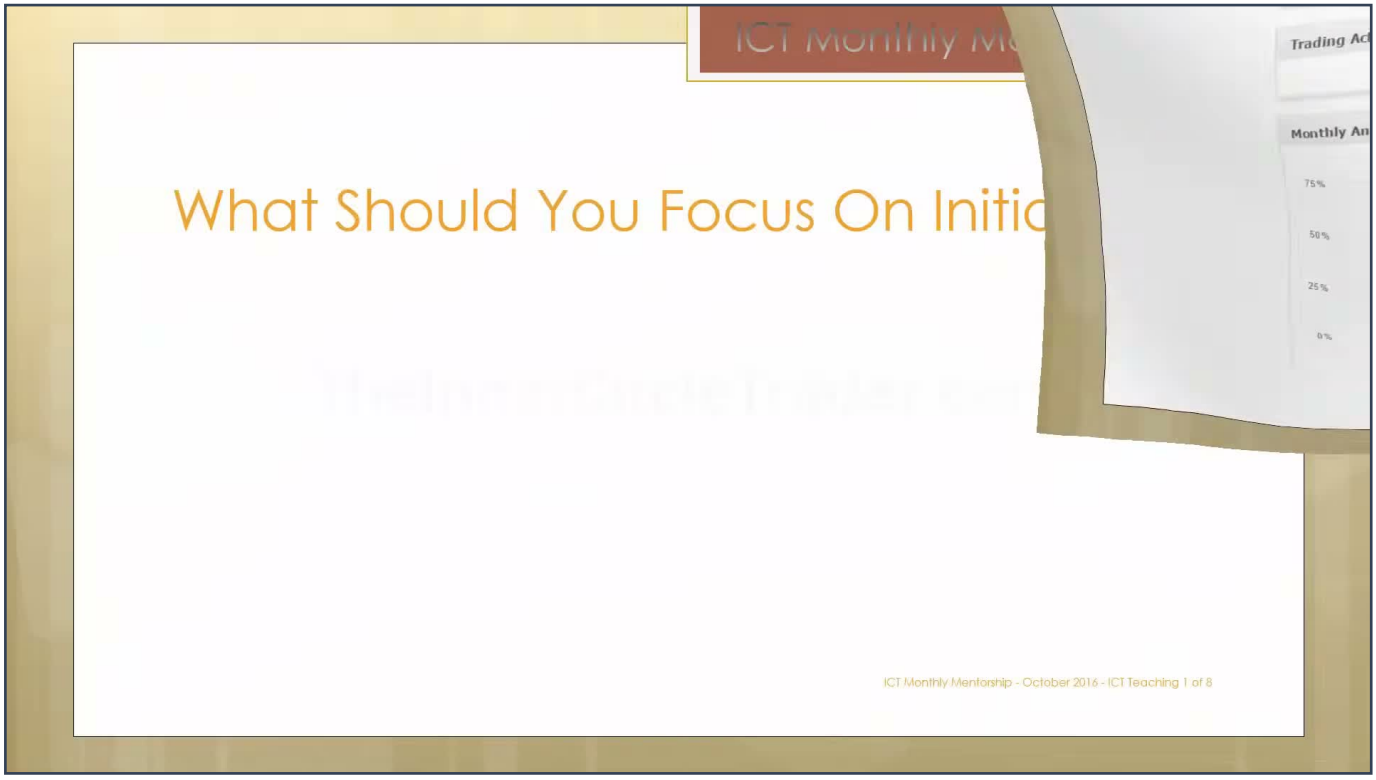


All right, so what should you focus on initially? Six percent. Six percent of what? Six percent of your equity compounding per month.

- Now it doesn't sound like much, it doesn't sound sexy, it doesn't give you the willies. Well, guess what? It only takes you 20 pips per week to do it, and it only requires 1.5 percent risk, and it only requires a one to one ratio to do it.

- That means if you find a trade that pays out potentially 20 pips and you can frame the trade where you're only taking 20 pips risk, guess what, that's all that's necessary, and they happen every single day.

- I'm not advocating looking for one-to-one ratio trades, but I'm going to show you by example how easy it is to get that once your accuracy increases and you're understanding a price action. These setups are there every single trading day.

- Again, I am not trying to instill an action warrior hero where you go in there and you're trying to prove to the world that you can trade every single day and get your 20 pips, 40 pips, or whatever you're trying to do every single day. I don't think it's something that can be done consistently every single day. If you do, you're inviting losses.

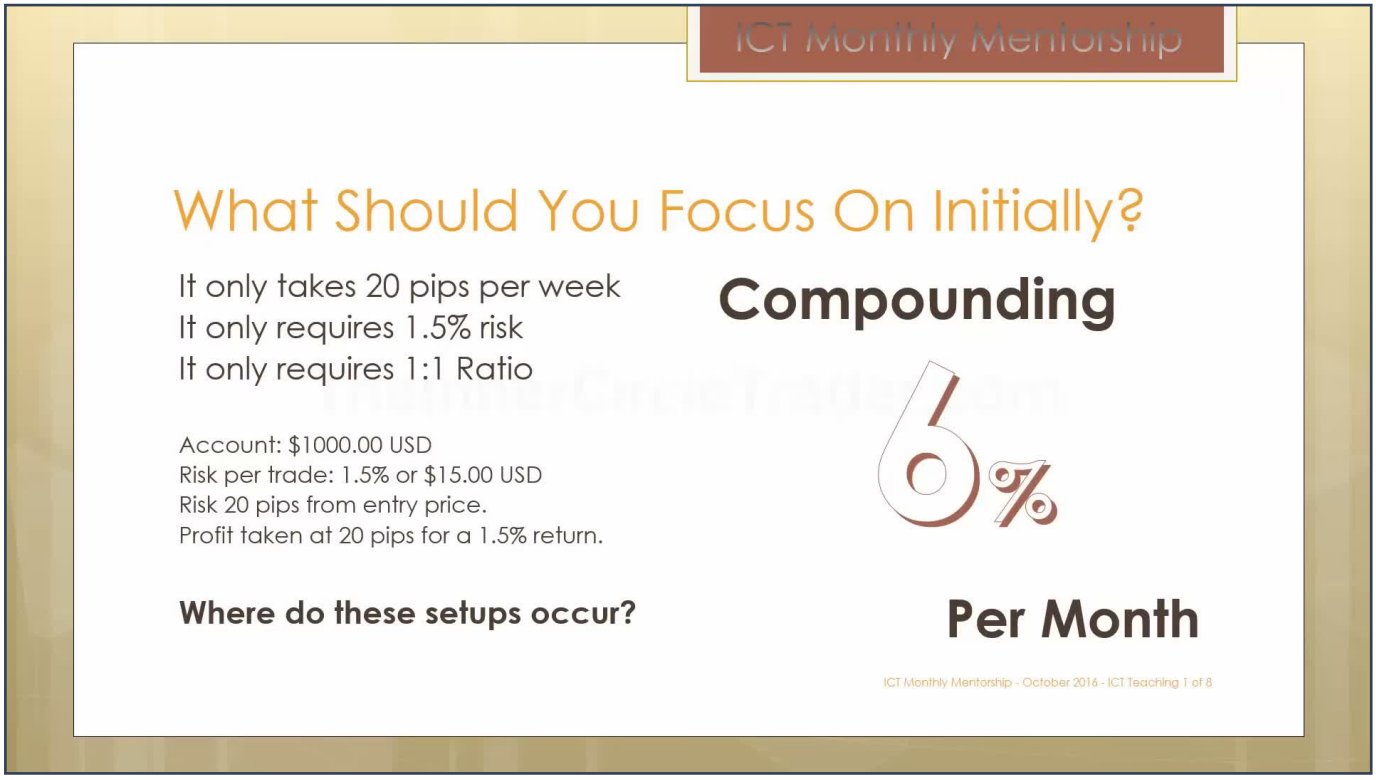
- There isn't a trading day that doesn't look good initially and goes sour quickly. You want to be trading in highly selective conditions, and when you do that, even with low reward to risk ratios, you can still find 1.5 percent return payouts per week. One trade, that's all you need, and you're actually going to have a little bit more than six percent.

- What does six percent do compounded every single month? It doubles your money every single year. I

don't care what your equity size is that you start with.

- An account with a thousand dollars: your risk per trade is going to be 1.5 percent or $15. That's it, you're only risking $15. If you lost $15 and you had a thousand dollar account, are you going to go home and take it out on your family? No, most people wouldn't do that. If you would, then you're probably not meant for trading.

- So what you'd be risking is 20 pips from your entry price, and your profit will be taken at 20 pips for a 1.5 percent return.



Here's the thing, it's easy to say this in number form, but how does, how do we find it? Where do these setups occur? The six percent per month setups, they form specifically, and the easiest ones to find are looking at your daily chart, and they make it easy to do.

- What is it specifically you're looking for? You're going to be looking for the things that I've talked about in the very first month of this mentorship.

- One specific is an order block where there's a price point at which a move quickly moves away from a level. If in this case it's movement up, we find that down candle right before the move goes higher.

- When price goes back down into that down candle, we have a really good probability, especially off of a daily chart, that you're going to get a 20 pip or more price swing.

Now magnified and zoomed in, we can see that that order block is noted with the two arrows drawing your attention to it. We're looking at the body of the candle, which is the opening on the down candle up to the high of that candle, and that's a fair value gap. Price, you can see, trades right back down into that level right here. As price hits that on that particular day, that's when you'd be looking for a trade. You'd be looking to go long there.

- But not just simply as it hits that level, we're going to wait for something to give us confirmation. Obviously the same thing occurs on a lower time frame; we look for the order block, we're just going to scale down because everything in price is fractal. So we're highlighting specifically the 0.7512 level.

- Okay, so we have a one hour chart, we're zoomed in, and you see price shows an old low right here, and below old lows we know there's going to be sell stops resting below there, and the price drives down below that taking out an area of sell stops or running into a liquidity pool. But it goes specifically down into that one level that we identified on the daily chart, being 0.7512.

- Price trades down into that level and slams right into it. Now we are in turtle soup conditions, that means a break below an old low, we could potentially expect this market to run higher. When it hits this level on an hourly chart, we can simply wait. We're going to wait for confirmations the market wants to go higher from that level. In other words, we're going to wait to see if the bank sponsors that level.

- If they do, we already know by looking at what we've learned in the first month, there are buy stops above these equal highs right above here. There's equal highs, and I'm going to ask you before I show you again, where else would you expect buy stops above the marketplace to be residing in this chart? That's right, right there. So buy stops are above us, so we can map out areas at which we can look to take our profits

before we even put the trade on. That's important. You need to know where you're at in terms of risking and rewarding. Where are you going to take your profits? Where do you think the market's going to be drawn to and why should the market react at these specific levels by looking at that 0.7512 level? That's important because we know our trade is being framed on the daily chart; it's not a five-minute setup, it's based on an institutional level on a daily chart.

Now here we have the market trade up through the down candle right in here, that's the bullish order block. Price trades through it here. Once it happens, we identify the opening and the high on that candle. That's where the buy would occur. So in this area, if we use the opening on that candle, we're going to add our five pips spread to it and build that in. You can see our order would be around 0.7542. That would be our limit order, so we would be long there. When this candle drops down into it, we would reasonably expect to see our entry to be filled at that price point.

- Now obviously if we're going to be long there, the parameters for trading with six percent setups because our aim is to first get ourselves in sync with trying to double our money over the year, not this week, not this month. We're trying to double our money over the year; that's low hanging fruit, that's easy for a new aspiring trader to grow into it.

- It doesn't give you the pip drunk mentality. You're not trying to force a million dollars into your account right away; it's gradually adding a fluency.

- So you're going to define your risk by saying 'okay, I want to take a stop at 20 pips.' And guess what that does? It puts your stop below the middle of that down candle, so you have a good risk model here. And also it's framing it really well because we don't want to see price go down below the midpoint of that down candle again. It's already shown a willingness to drop below here and take the stop, so it wants to obviously want to go higher. If it's going to go higher, it won't come back down below the middle of that down candle or bullish order block. So our stop is at 75.22, our entry is at 75.42. We have a 20 pip stop loss.

And obviously, as soon as we get to this level here, we're already at one to one. So at this point, we could be long here, right here we're already at, guess what, 1.5 percent profit.

- Now once we get to 1.5 percent profit, does that mean we collapse the trade? We can, absolutely we can, that's a one to one gearing, and we would make our 1.5 percent return, and it's that quick. You're over in a couple hours, you're done for the week.

- But what did we first start this trade with? We framed it with the buy stops up here and the buy stops up here. So when price goes to our first profit, we can start taking our risk and reducing it, taking some of it off. In fact, we could probably do this: we could take half the position off and guess what, we'll make 0.75 percent return on the trade once it gets to this level here, right up here. That's the first objective. So now we've already banked 0.75 or three quarters of one percent, and we are allowing the price to expand up to another level.

- So now guess what, as soon as we get to this level here, we're back at 1.5 percent. We made another profit objective here at a multiple of two. So now we're at 1.5 percent again, but we've already banked three quarters of one percent. Now mind you, the hundred percent is open profit, it's paper, still hasn't been realized yet. But have we reached into the buy stops yet? No, we have not seen anything in terms of these buy stops over here being reached into or swept.

- Guess what happens, multiple three comes in here. Now we've added another 20 pips of profit and we cleared out the stops. We can take another portion of our position off. We can take a quarter of it off, we can take a half of it off, whatever it is that you want to do. I'm not giving you any structure yet, but I want you to think about paying yourself right here. And you would have done well over what would be necessary to

make 1.5 percent return, and you graduated your exits based on logical areas where price should reach.

- At this point here, after your second multiple is reached, your stop needs to be at breakeven. So you'd be down here at your entry, so now you would have right now no way for that to take you out below your entry point, okay, and you've already banked a position in the position that you've scaled out some.

- And obviously multiple four is hit, gets real close to where our buy stops are, so we would reasonably expect this to do what, maybe consolidate, maybe retrace a little bit, but still reach for another area of liquidity above these equal highs over here. And then ultimately we get a multiple of five, it clears out the buy stops over here.

- I'll leave you to study this in terms of how many opportunities you could have done in terms of scaling. If you would have kept took off half the position at multiple of one (in other words, if you made 20 pips), if you've taken half of it off and you let the remaining half run all the way up to get these stops, how much money would that be? How much percentage would that be? What would that do for your account? What if you took off one quarter of it here at 20 and let the remaining balance run? What if you took off three quarters of it off here and left one quarter of the position on to run? All of these things are for your study, and it's important that you do this because I want you to think about what is available to you. This is only one setup framed on a daily chart, and it was aiming for what? Buy stops. We've already identified those buy stops were reached into right there.

Everything that was shown to you in month one was used here in the illustrative purpose. So now you can see how easy it is to get that 1.5 percent return a week, and you don't need to get it in the full shot where you get in and you get out all full in, all full out in terms of entry and exit, full position on, full position off. You can graduate your position profits and scale them out logical levels and still allow your little bit of a portion of the position to pay out amazingly.

- Think about this: let's say you took off half the position here, okay, so you have 0.75 or three quarters of a percent. So now here you got three quarters of one percent again. You have 1.5 percent here, here's three percent return just on the second half. Now think about that. You made three and a half percent on the second half, plus three quarters of one percent, so you're over four percent just in that trade with graduating it and just scaling it out.

- Now what if you did that every single week? How about this, what if you did it twice a week? What happens if you do it three times a week? How much does your money grow if you trade like this? Everything is organized, everything is specifically designed. You only execute with one specific task in mind. You buy at specific levels, you sell at specific levels. You trail your stop only when specific levels are reached for. We're going to give you all these things, but think about this, this is a five to one setup. This is what a one shot one kill looks like, and it's framed on a daily level. It's going to give you institutional sponsorship; there should be a willingness to see price rally down here, why, because it's off of a daily order block. The banks trade off the daily levels.

- I hope you enjoyed this teaching. The next two will be actually giving you more detail about trade ideas and scenarios like this so that way you can you build your understanding about how you can build your equity and grow it from even a small account.

- And again, if we started with a thousand dollars, a thousand dollars becomes over two thousand dollars after 12 months. And I know some of you don't think that's great, but guess what that does in 10 years if you stick to it, never add another penny out of your pocket? It's over a million dollars. And my question is, where are you going to be 10 years from now if you have a thousand dollars in your hands right now? Will you have a million dollars 10 years from now? You got no excuse not to now. Until next time, wish you good luck and good trading.